Chapter 7:

Data and Indicators

A successful options trader must blend statistical insights with strategic application. An impactful approach to achieving this is using probability bands. These bands can guide decision-making, especially for selling options.

The key to estimating probable price ranges for indices lies in leveraging key indicators, such as implied volatility and the confidence bands from normal distribution principles. This chapter will guide you on this key exercise for options trading.

Let's start by discussing how to form views on the market by observing key data points. We will also discuss some dos and don'ts for option buyers and traders and checklists you must keep handy before entering a position.

7.1 Key Indicators and Data Points to Watch

Consider this. You can choose between trading options for indices or a fixed number of stocks. Most option traders primarily trade in index options. Very few will trade options on individual stocks. If you are a part of the majority, you must understand the constituents of whichever index whose options you will trade.

Every stock index tracks the performance of stocks that meet its criteria. For example, Nifty 50 tracks the performance of the 50 largest companies by market capitalisation listed on the National Stock Exchange (NSE). These 50 stocks are Nifty 50's constituents. So, any considerable movements in Nifty 50's constituents will affect Nifty 50.